

Section 1

Supply Chain Management & Drilling Support Management

Supply Chain Management

Supply Chain Management now part of the
business vocabulary

WHY...???

Introduction

- Global marketplace drastically changed the landscape of business.
- Technology changed rapid and continuous.
- Deregulations
- Globalization

No comfort zone

Supply Chain

Definition

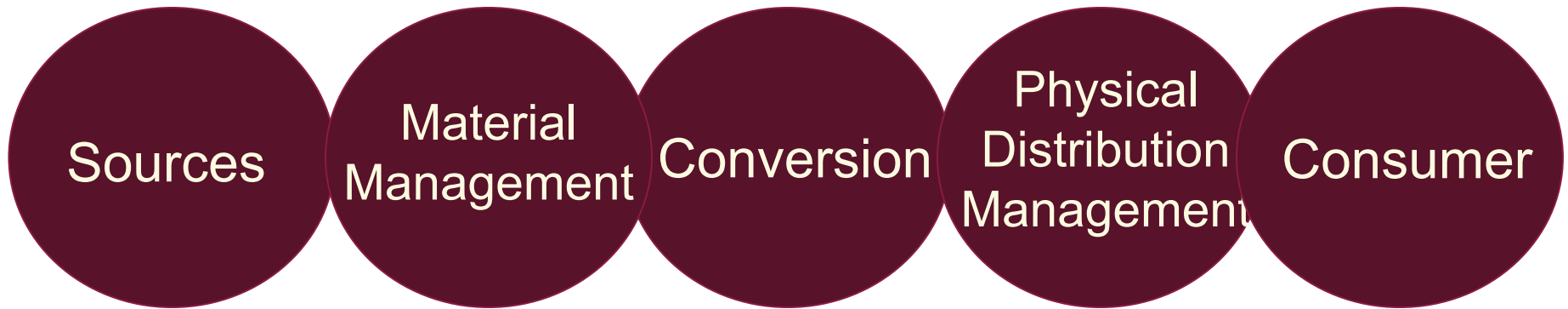
- The total sequence of business processes, within a single or multiple enterprise to satisfy customer demand for a product or service



Supply Chain Management

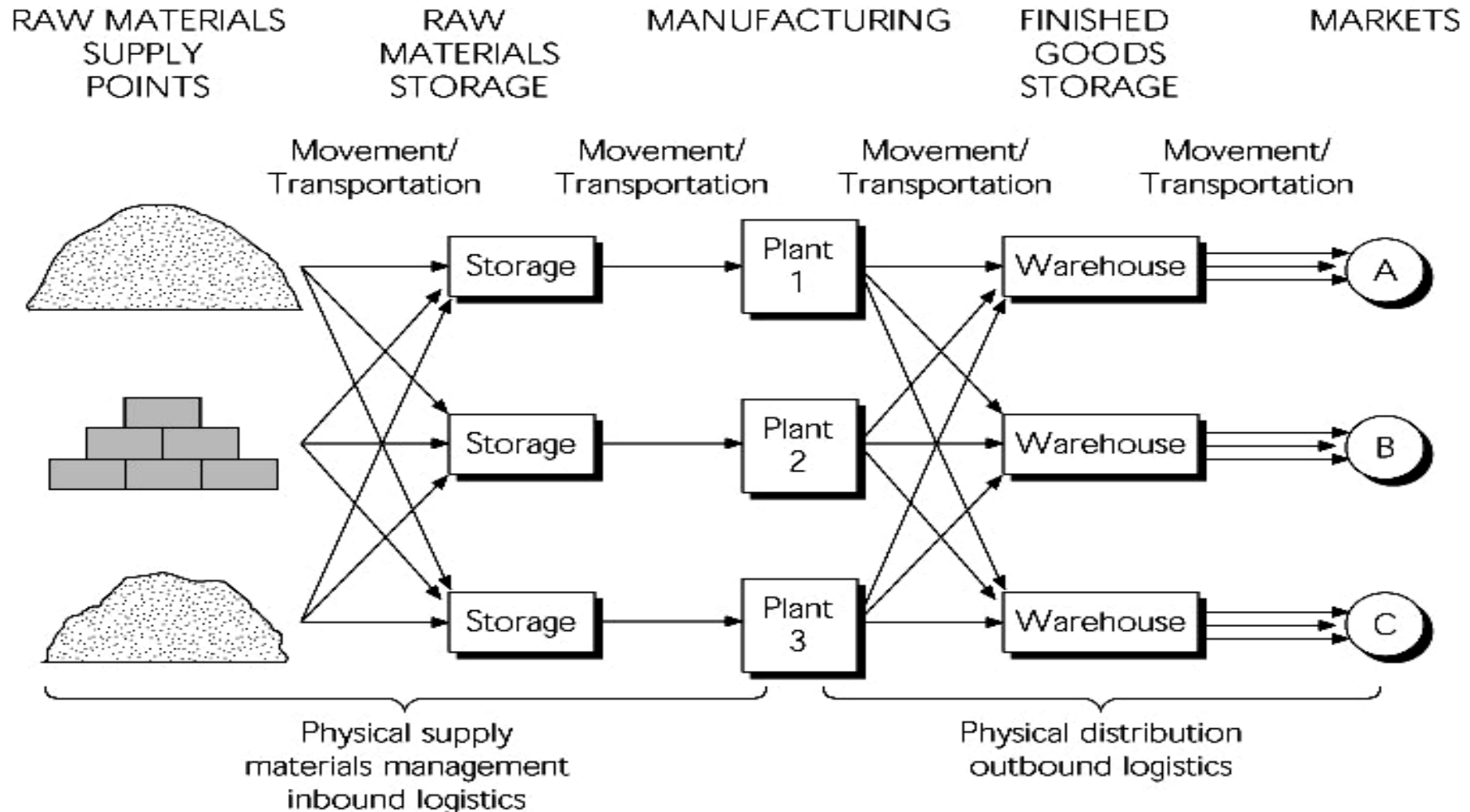
Definition

- Managing the chain of events in the supply chain process effectively without losing any quality or customer satisfaction but still keeping costs down



SCM formerly known as Logistics (Big L)

Supply Chain Management in a Firm



Supply Chain Management Emphasis

Industry	Supply Chain Logistics Emphasis
Extractive	One-way; outbound
Manufacturing	Two-way; inbound and outbound
Channel intermediary	Two-way; inbound and outbound
Retailer	Two-way; inbound and outbound
E-tailer	Two-way; inbound and outbound
End User	One-way; inbound

Material Management

Definition:

The planning, organization and control of all aspects of inventory embracing:

- Purchasing
- Inventory
- Warehousing
- Transportation
- Work-in-progress
- Shipping
- Distribution finished goods.

THE VALUE CHAIN OF THE FIRM



PRIMARY ACTIVITIES

Materials / Supply Management

Physical Distribution / Channel Management

Value Chain / Total Supply Chain – Logistics Management

Industry Forces

- Bargaining Power of Suppliers
- Bargaining Power of Buyers
- Threat of New Entrants
- Threat of Substitutes
- Rivalry Among Existing Firms

Macro Forces

- Economic / Financial
- Legal / Regulatory
- Labor Markets
- Social
- Global

Purchasing

Definition

- The process of obtaining goods and services from outside sources
- Includes both pre-award processes (procurement) and post-award processes (contract administration)

Why Purchasing is Important?

- Potential for Profitability or Reduce Cost
- Improved Quality
- Early Procurement Involvement/Early Supplier Involvement
- Make or Buy Decision Making

Logistics Transportation

Definition

- Moving and storing materials so they are available whenever and wherever they are needed
- This requires coordination in the form of information sharing and material movement between locations

Logistics Transportation

Key elements:

- Moving time
- Accessible when needed
- Certainty in quality and timing
- Ability to move a variety of goods and materials
- Ability to reach customer locations

Logistics Transportation

**Your logistics capabilities can only
be as good as
your transportation capabilities**

Drilling Support

Drilling Support

Definition:

A function that provides the resources and operational assistance to facilitate safe and efficient drilling operations

Drilling Support Key Functions

- **Operational Support**
 - Assists with planning and executing drilling activities.
 - Ensures the drilling rig has the necessary tools, materials, and technical resources.
- **Logistics and Supply**
 - Coordinates transportation of equipment, fuel, spare parts, and personnel.
 - Ensures materials arrive when needed.
- **Equipment Maintenance**
 - Monitors, repairs, and maintains drilling equipment.
 - Reduces downtime caused by equipment failures.
- **Cost Control**

Integration

Integration

Definition:

Bringing functions or organizations, to work jointly on a common business purpose

Integration

Variety of Integration:

- Formally or informally
- Physically or by information technology
- Internal or External

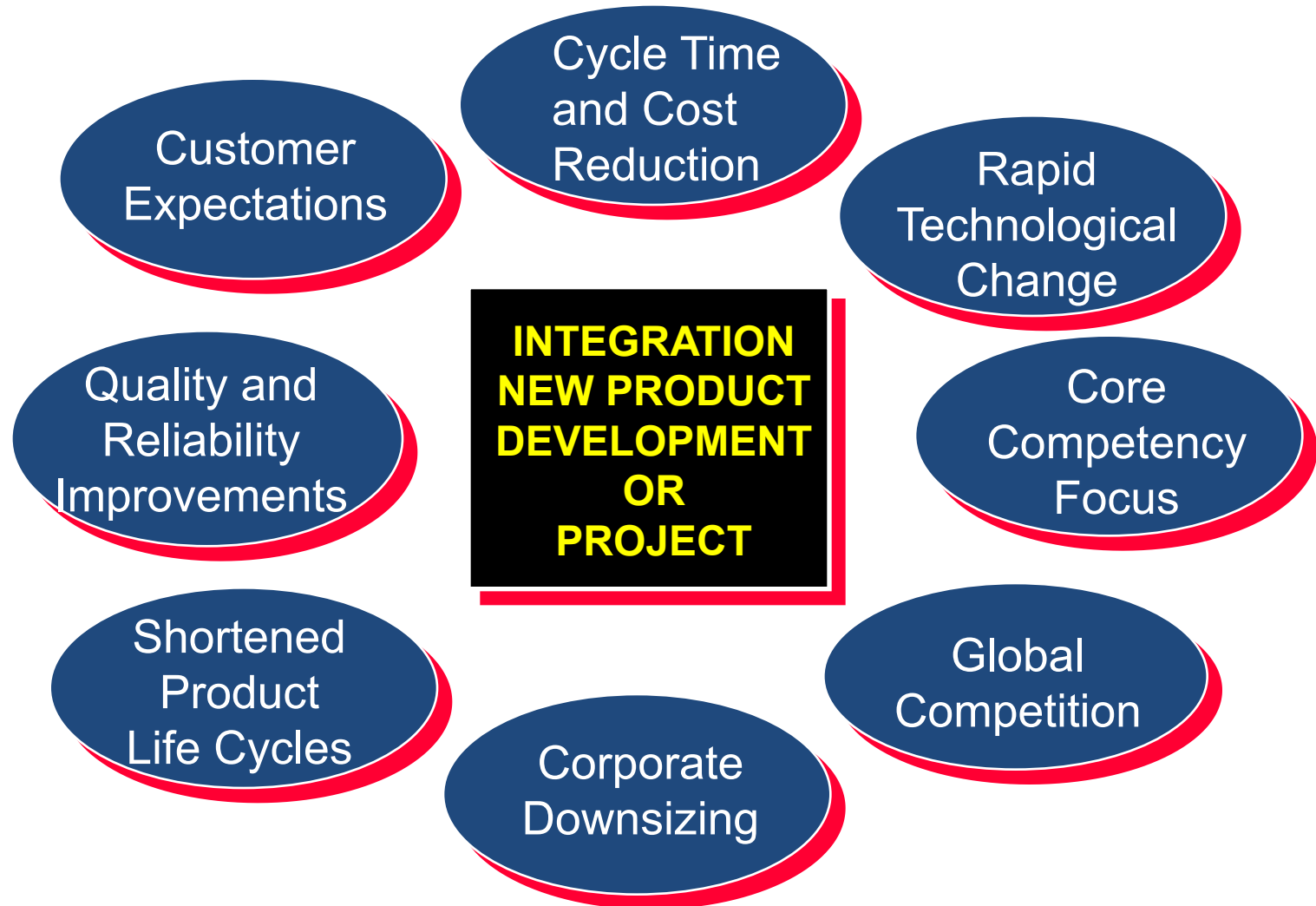
Internal Integration

Examples of how firms integrate across the value chain:

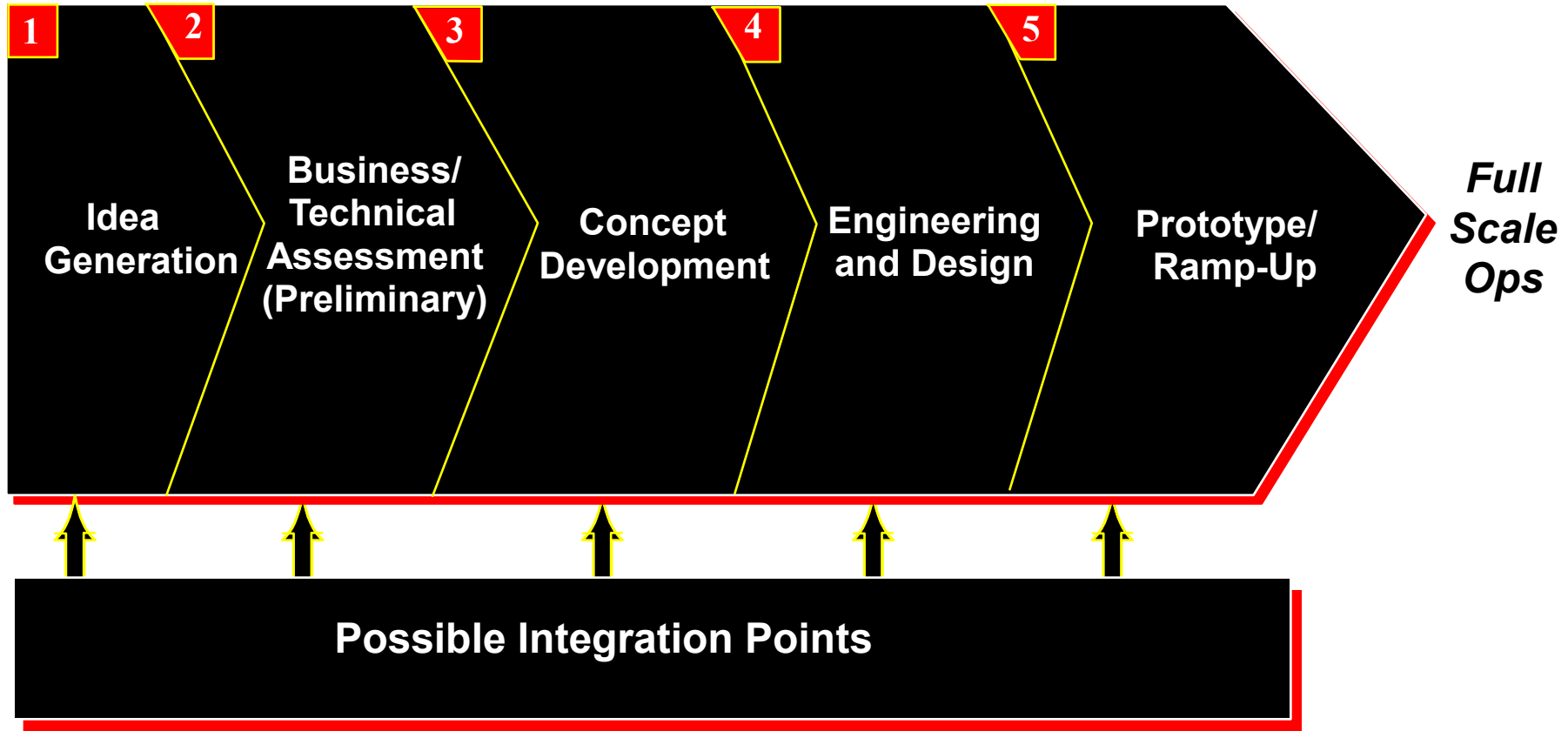
- Drilling Project Teams
- Tender Committees Teams
- Integrated performance goals/objectives/measures
- Strategy development process

Why Need Integration?

Integration Key Drivers



Drilling Project Integration Stage



Early Procurement Involvement
Early Supplier Involvement

Benefits Integration

- Reduced time to complete tasks
- Increased innovation
- Joint ownership of decisions
- Enhanced communication between functions
- Synergy and improved problem resolution
- Sharing Expertise

Drawbacks Integration

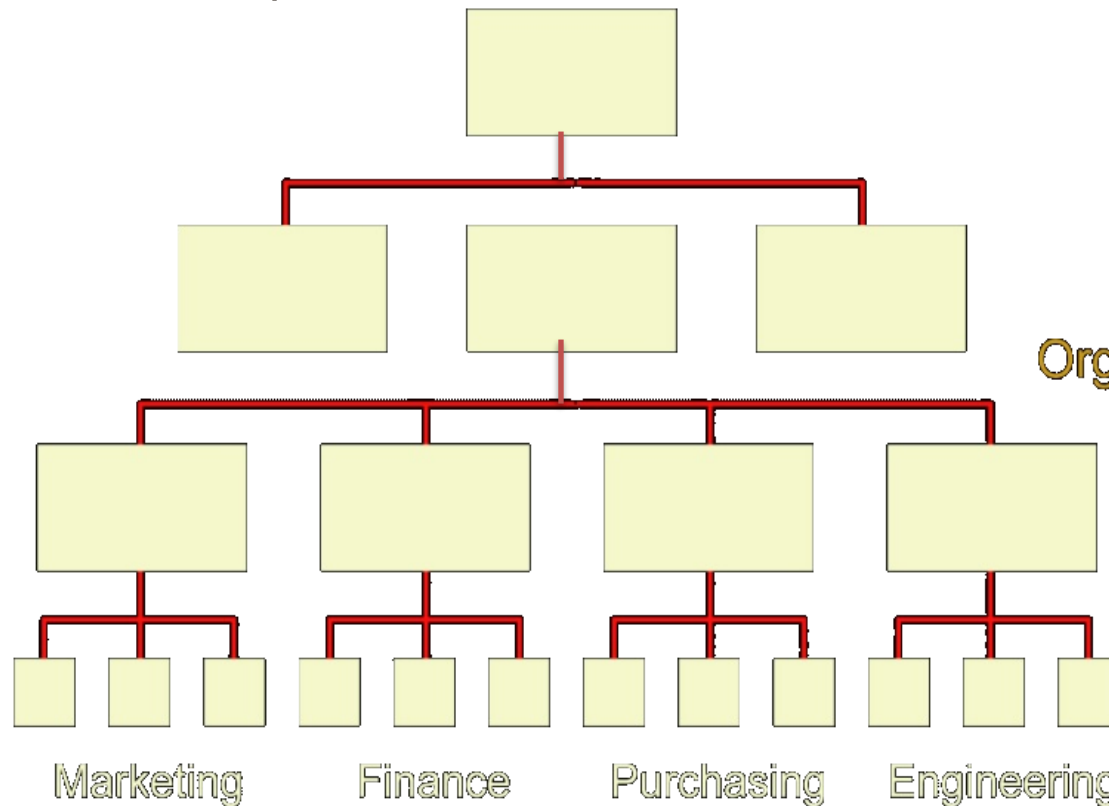
- Potential productivity loss if some members not motivated.
- Thoughts of individuals can get overrun by other team members.
- Groupthink can occur

Organization

Why We Need It??

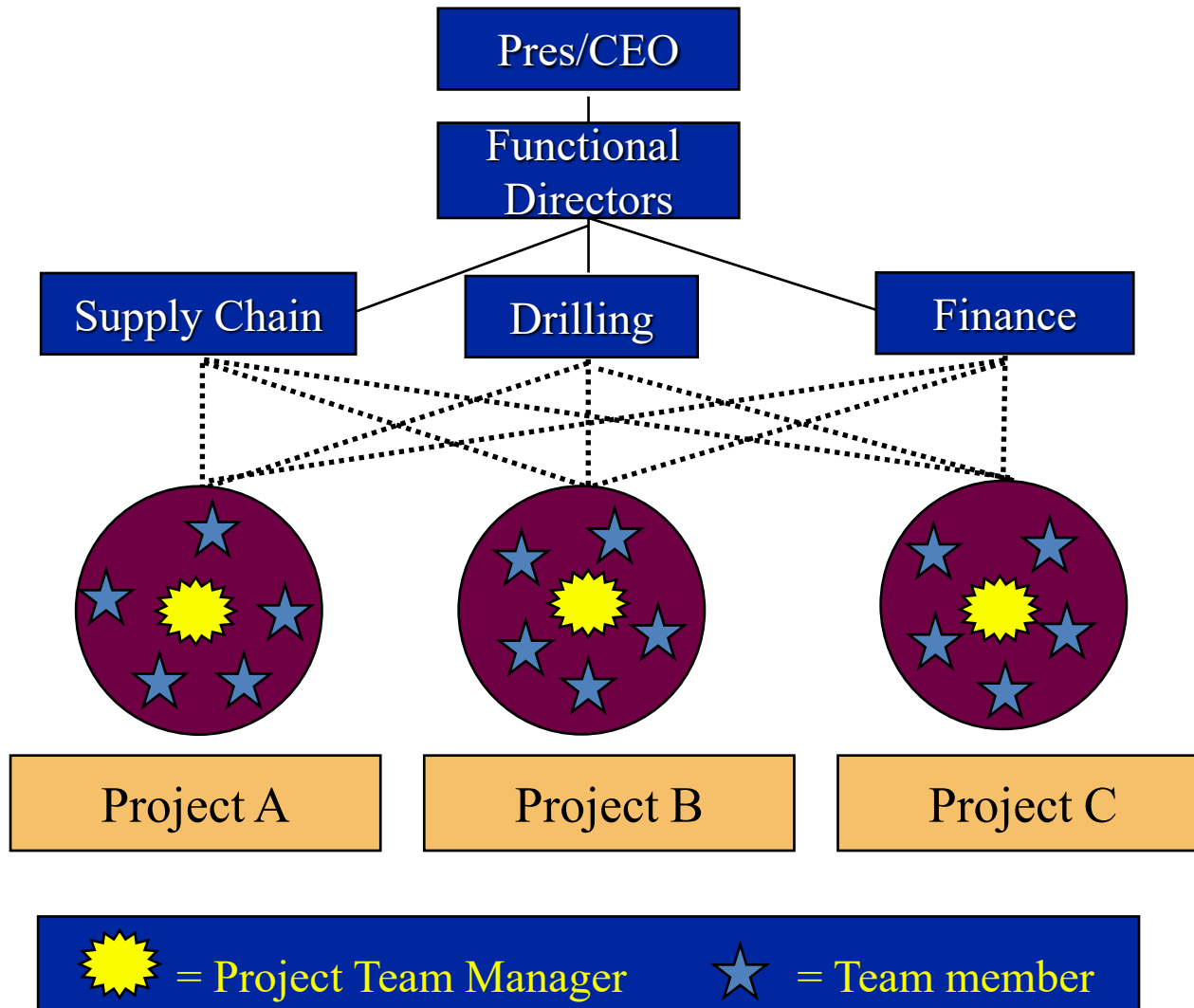
Typical Organization

The Vertical Organization

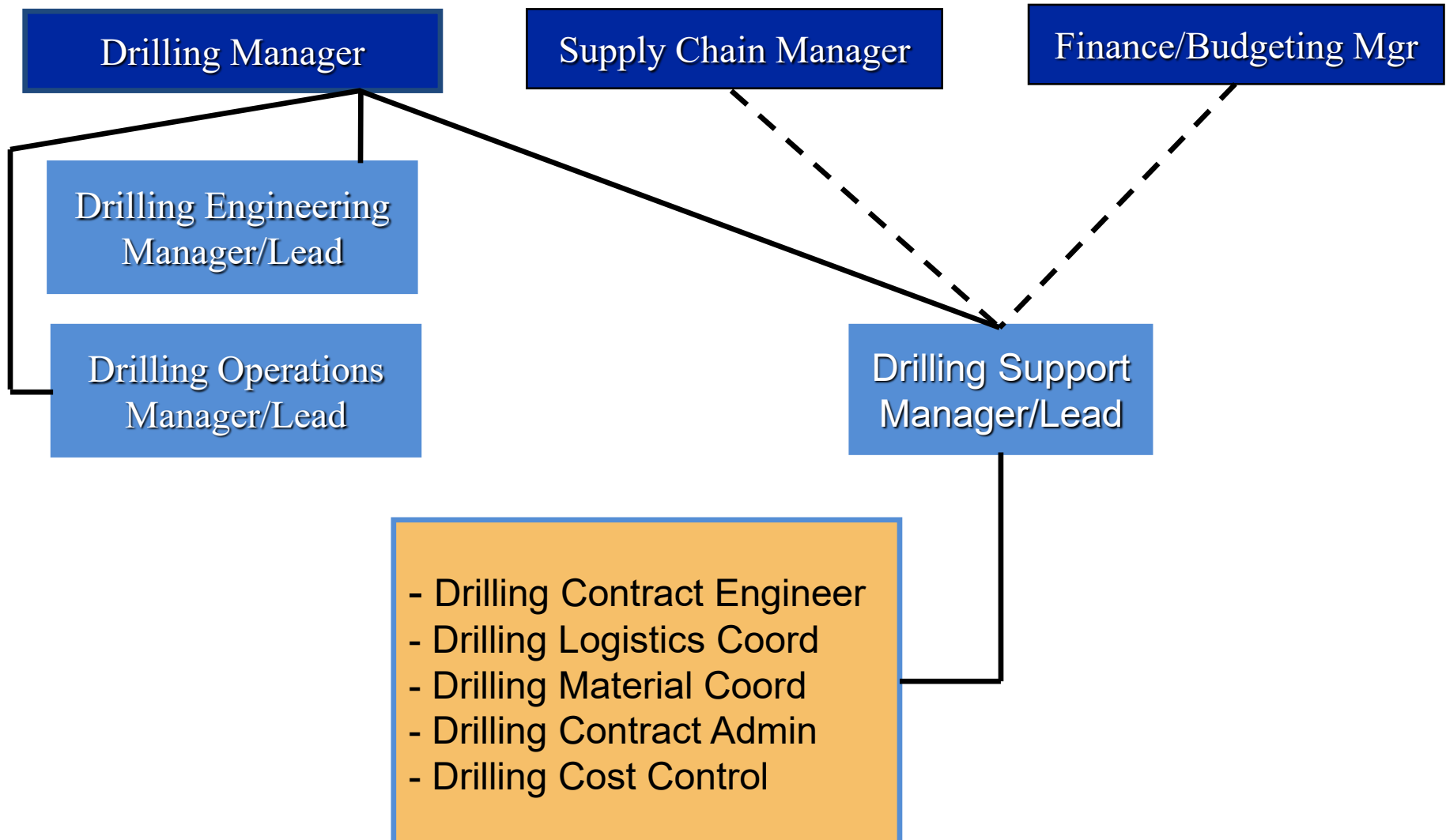


Organize in functional silos

Matrix Organization



Drilling, SCM & Fin Organization



Task & Responsibilities

Task

Drilling Plan

Proc List

SOW

Tender Plan

Bid T&C

Tender Process

Evaluation

Award

Contract Admin

Closed Out

Drilling

V

V

V

X

X

X

V

X

V

V

Procurement

X

V

X

V

V

V

V

V

V

V

Why is Integration so difficult to do?

- Traditional KPI
- Failing to share information and knowledge
- Failure to understand the importance of supply chain integration
- Fear associated with losing control
- Lack of top management support

End of Slides